



TCI Express Q1FY23 was a miss on EBITDA margin but management continues to maintain 18-20% revenue guidance & bring back EBITDA Margin to 17% from next quarter

- Revenue at ₹2,904 Mn vs ₹2,229 Mn (+30% YoY) vs ₹2,981 Mn (-3% QoQ) on account of lower utilization
- EBITDA at ₹428 Mn vs ₹321 Mn (+33% YoY) vs ₹502 Mn (-15% QoQ) due to higher employee cost
- EBITDA Margin at 14.7% vs 14.4% (YoY) vs 16.8% (QoQ)
- Adj PAT at ₹310 Mn vs ₹238 Mn (+31% YoY) vs ₹359 Mn (-14% QoQ)
- EPS at ₹8.06 vs ₹6.18 (YoY) vs ₹9.33 (QoQ)

Outlook:

- Demand for July remains strong giving management confidence of 18-20% revenue growth & margin expansion of 50-100 bps every year
- EBITDA Margin drop due to higher employee cost (~100 bps) on YoY basis mainly on account of expansion in workforce & lower utilisation levels of 84.5% vs 85% YoY
- Buyback of ₹750 Mn upto ₹2,050/share
- 3-4% price hike expected for the year

Rating	TP (Rs)	Up/Dn (%)
Buy on Dips	1,948	10

Market data

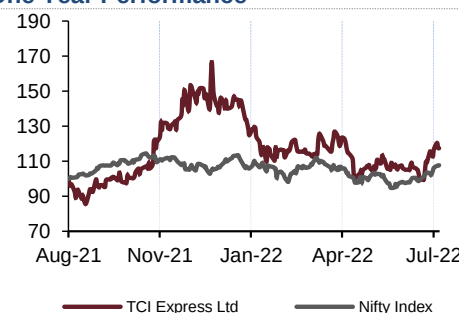
Current price	Rs	1,777
Market Cap (Rs.Bn)	(Rs Bn)	68
Market Cap (US\$ Mn)	(US\$ Mn)	870
Face Value	Rs	2
52 Weeks High/Low	Rs	2572 / 1280
Average Daily Volume	('000)	26
BSE Code		540212

Bloomberg

Source: Bloomberg

TCIEXP.IN

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	66.69	66.69
Public	33.31	33.31
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net sales	10,320	8,440	10,815	12,914	14,851
EBIDTA	1,213	1,343	1,747	2,071	2,544
Margins	11.8	15.9	16.2	16.0	17.1
PAT (adj)	891	1,006	1,288	1,520	1,873
growth (%)	22.3	12.9	28.1	18.0	23.2
EPS	23.2	26.2	33.5	39.5	48.7
P/E (x)	69.7	61.9	48.4	41.0	33.3
P/B (x)	18.4	14.3	11.6	9.5	7.7
EV/EBITDA (x)	50.8	45.6	35.1	29.5	23.7
RoE (%)	26.4	23.2	24.0	23.1	23.2
ROCE (%)	33.4	28.8	30.7	29.4	29.5

Source: Dalal and Broacha

Kunal Bhatia
+91 22 67141442
kunal.bhatia@dalal-broacha.com

Bhavya Gandhi
+91 22 6714 1444
bhavya.gandhi@dalal-broacha.com

Conference Call Highlights

- **Guidance**

- **FY23 Guidance**

- Revenue growth of 18-20% with EBITDA margin of 17%
- Target to add 100+ branches in FY23
- Annual price hikes of 3-4%
- Planned capex of Rs.1000 Mn for the year

- **Volume Details**

- Total Tonnage for the Quarter : 2,30,000 Tonnes (+28% YoY)

- **Sorting Centres**

- Capex of ₹330 Mn towards purchase of land in Kolkata for setting up automated sorting centre of 2 lac sq.ft
- Gurgaon sorting centre now operational 24*7 || Accounts for 18% of total tonnage in June 2022 & can handle upto 40% of total tonnage || Automated sorting centre: Truck turnaround time reduced from 1.5 days -> 12 hrs -> Efforts being made to reduce it to 8 hrs in Sept-Oct
- Utilisation at Pune sorting centre : 1.5 lac sq.ft @ 40% utilization

- **Network Expansion**

- Added 10 new branches during Q1FY23 in west & north region || Full year target of 50 new branches
- Rail express : Expanded to 60 routes from 10 routes a year back ; customer base expanded to 1,000 from 250

- **Other Details**

- Full fuel cost increase was passed on to 90% of customers
- Increase in rent @ ~2-3% as compared to FY21-22
- New business contribution including air business stands at 15% of overall revenue

- **Cash deployment strategy**

Closing Cash & Bank including Investments as on 31.03.2022	Rs.100 crs
Expected Cashflow generation for FY23	Rs.175-200 crs
Less : Capex for FY23	Rs. 100 crs
Less : Buyback @ Rs.2050/sh	Rs. 75 crs (promoters won't participate)
Closing Cash & Bank expected on 31.03.2023	Rs. 100 crs (Retained at current closing levels)
(Net working capital @ 15 days so no cash required for working capital for routine operations)	

Quarterly Financials

(Rs mn)	Q1FY23	Q1FY22	Growth	Q4FY22	Growth
Sales	2904.4	2229.2	30.3	2981.8	(2.60)
Other income	19.3	16.4	17.7	21.0	(8.10)
Total Revenue:	2923.7	2245.6	30.2	3002.8	(2.63)
Expenses:-					
Operating Expenses	2009.8	1522.9	32.0	1994.2	0.78
% to Operating Income	69.2%	68.3%		66.9%	
Employee benefift expenses	308.6	255.6	20.7	292.8	5.40
% to Operating Income	10.6%	11.5%		9.8%	
Other expenses	158.10	129.90	21.7	192.80	(18.00)
% to Operating Income	5.4%	5.8%		6.5%	
Total Expenses	2,476.50	1,908.40	29.8	2,479.80	(0.13)
EBITDA (exc OI)	427.90	320.80	33.4	502.00	(14.76)
EBITDA Margin %	14.73%	14.39%		16.84%	
EBITDA	447.20	337.20	32.6	523.00	(14.49)
Depreciation	33.18	22.30	48.8	31.60	5.00
Interest	2.9	1.1	163.6	2.9	-
PBT	411.12	313.80	31.0	488.50	(15.84)
PBT %	14.16%	14.08%		16.38%	
Tax expenses	100.90	76.20	32.4	129.20	(21.90)
<i>Tax Rate</i>	<i>24.5%</i>	<i>24.3%</i>		<i>26.4%</i>	
PAT	310.22	237.60	30.6	359.30	(13.66)
Adjusted PAT	310.22	237.60	30.6	359.30	(13.66)
NPM	10.61%	10.58%		11.97%	
Equity	77	76.9	0.1	77	-
EPS	8.06	6.18	30.4	9.33	(13.66)

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Management is confident of 18-20% revenue growth for FY23. July has been a good month & they expect festive season to push demand. Management has reiterated EBITDA margin improvement 50-100 bps on YoY basis

TCI Express's USP lies in its strong network coverage, of 50,000 locations serviced by 5,000 containerized trucks, 900+ branches and 28 sorting centers.

TCI express market share (*in terms of value of goods carried*) has reached 7% from 5% at end of FY21. Going forward logistics industry is expected to reach \$1 tn by 2030 from current levels of \$360bn, out of this 70% would be road-transport i.e. \$252bn of which TCI Express aims to capture 15-20%.

The company's ROE and ROCE for FY22 stands at 24%+ and 30%+. Cash on book stands at Rs.1,040 Mn. **CFO to EBITDA stands at ~78%**

The management is confident of doubling the topline & 4x EBITDA in next ~4-5 years aided by launching new value added services which translates in to 25% CAGR on topline and 40%+ CAGR on EBITDA

At CMP of Rs 1,771 TCI express trades at 41x FY23e EPS of Rs 39.5 and 33x FY24e EPS of Rs 48.7. We maintain **Buy on Dips rating** with a target price of Rs 1,948 valuing the company at 40x FY24e EPS

Financials

P&L (Rs mn)	FY19E	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY19E	FY20	FY21	FY22	FY23E	FY24E
Net Sales	10,237.9	10,319.6	8,439.9	10,814.6	12,914.3	14,851.5	Net Profit	728.4	890.8	1,006.0	1,288.5	1,520.1	1,873.4
Raw Materials	(7,533.8)	(7,341.6)	(5,667.3)	(7,329.7)	(8,786.4)	(9,955.2)	Add: Dep. & Amort.	65.3	77.9	89.7	99.8	132.0	155.6
Employee Cost	(858.5)	(1,018.0)	(873.4)	(1,099.4)	(1,275.3)	(1,466.6)	Cash profits	793.7	968.7	1,095.7	1,388.3	1,652.1	2,029.0
Other Expenses	(655.7)	(747.0)	(556.0)	(638.3)	(782.0)	(885.5)	(Inc)/Dec in						
Operating Profit	1,189.9	1,213.0	1,343.2	1,747.2	2,070.6	2,544.2	-Sundry debtors	(87.6)	(26.3)	(36.9)	(200.8)	(368.0)	(339.5)
Depreciation	(65.3)	(77.9)	(89.7)	(99.8)	(132.0)	(155.6)	-Inventories	-	-	-	-	-	-
PBIT	1,124.6	1,135.1	1,253.5	1,647.4	1,938.6	2,388.6	-Loans/advances	(26.9)	(23.7)	(51.4)	(152.2)	(35.6)	(39.1)
Other income	31.9	43.7	76.5	81.7	104.9	127.0	-Current Liab and						
Interest	(37.8)	(9.0)	(7.8)	(9.1)	(12.0)	(12.0)	Provisions	46.8	(104.3)	180.3	66.7	143.4	154.0
PBT	1,118.7	1,169.8	1,322.2	1,720.1	2,031.5	2,503.6	Change in working capital	(67.7)	(154.3)	92.0	(286.3)	(260.2)	(224.6)
Exceptionals	-	-	-	-	-	-	CF from Oper. activities	726.0	814.4	1,187.7	1,102.0	1,392.0	1,804.5
Profit before tax (post exceptional)	1,118.7	1,169.8	1,322.2	1,720.1	2,031.5	2,503.6	CF from Inv. activities	(252.7)	(598.6)	(1,005.1)	(944.1)	(802.1)	(802.2)
Provision for tax	(390.3)	(279.0)	(316.2)	(431.6)	(511.3)	(630.2)	CF from Fin. activities	(424.0)	(260.9)	(36.3)	(250.2)	(296.0)	(374.7)
Reported PAT	728.4	890.8	1,006.0	1,288.5	1,520.1	1,873.4	Cash generated/(utilised)	49.3	(45.1)	146.3	(92.3)	293.9	627.6
MI	-	-	-	-	-	-	Cash at start of the year	121.8	171.1	126.0	272.3	180.0	473.9
Net Profit	728.4	890.8	1,006.0	1,288.5	1,520.1	1,873.4	Cash at end of the year	171.1	126.0	272.3	180.0	473.9	1,101.4
Adjusted Profit (excl Exc	728.4	890.8	1,006.0	1,288.5	1,520.1	1,873.4	-	-	-	-	-	-	-

Balance Sheet	FY19E	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY19E	FY20	FY21	FY22	FY23E	FY24E
Equity capital	76.6	76.7	76.9	77.0	77.0	77.0	OPM	11.6	11.8	15.9	16.2	16.0	17.1
Reserves	2,595.3	3,296.1	4,261.8	5,284.9	6,501.0	7,999.8	NPM	7.1	8.6	11.8	11.8	11.7	12.5
Net worth	2,671.9	3,372.8	4,338.7	5,361.9	6,578.0	8,076.8	Tax rate	(34.9)	(23.9)	(23.9)	(25.1)	(25.2)	(25.2)
MI	-	-	-	-	-	-	Growth Ratios (%)						
Non Current Liabilities	78.0	61.5	65.0	81.9	89.9	89.9	Net Sales	15.7	0.8	(18.2)	28.1	19.4	15.0
Current Liabilities	1,039.8	881.0	1,061.6	1,126.5	1,269.9	1,423.9	Operating Profit	31.3	1.9	10.7	30.1	18.5	22.9
CAPITAL EMPLOYED	3,789.7	4,315.3	5,465.3	6,570.3	7,937.8	9,590.6	PBIT	31.6	0.9	10.4	31.4	17.7	23.2
Non Current Assets	1,859.0	2,093.8	2,708.0	3,269.4	3,939.5	4,586.1	PAT	24.7	22.3	12.9	28.1	18.0	23.2
Fixed Assets	1,744.3	1,965.3	2,561.3	3,258.9	3,927.9	4,573.4	Per Share (Rs.)						
Goodwill	-	-	-	-	-	-	Net Earnings (EPS)	19.0	23.2	26.16	33.47	39.48	48.66
Non Current Investments	114.7	128.5	146.7	10.5	11.6	12.7	Cash Earnings (CPS)	20.7	25.3	28.5	36.1	42.9	52.7
Deferred Tax Asset	-	-	-	-	-	-	Dividend	2.9	4.6	4.0	8.0	7.9	9.7
Long Term Loans and Advances	-	-	-	-	-	-	Book Value	69.8	87.9	112.8	139.3	170.9	209.8
Current Assets	1,930.7	2,221.5	2,757.3	3,300.9	3,998.3	5,004.5	Free Cash Flow	12.4	5.6	4.7	4.1	15.3	26.0
Current investments	-	285.9	587.1	870.0	870.0	870.0	Valuation Ratios						
Inventories	-	-	-	-	-	-	P/E(x)	85.1	69.7	61.9	48.4	41.0	33.3
Trade Receivables	1,631.4	1,657.7	1,694.6	1,895.4	2,263.4	2,602.9	P/B(x)	23.2	18.4	14.3	11.6	9.5	7.7
Cash and Bank Balances	171.1	126.0	272.3	180.0	473.9	1,101.4	EV/EBIDTA(x)	51.9	50.8	45.6	35.1	29.5	23.7
Short Term Loans and Advances	85.1	91.9	-	-	-	-	Div. Yield(%)	0.2	0.3	0.2	0.5	0.5	0.6
Other Current Assets	43.1	60.0	203.3	355.5	391.1	430.2	FCF Yield(%)	0.8	0.3	0.3	0.3	0.9	1.6
CAPITAL DEPLOYED	3,789.7	4,315.3	5,465.3	6,570.3	7,937.8	9,590.6	Return Ratios (%)						
							RONW	27%	26%	23%	24%	23%	23%
							ROCE	41%	33%	29%	31%	29%	30%
							Net D/E	0.0	0.0	0.0	0.0	0.0	0.0

Source: Dalal & Broacha Research, Company

Disclaimer

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CINU67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.
Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com